KenTender Module Guide: Budget and Funding

Oct 16, 2026

What Budget and Funding is for

Budget and Funding holds the entity's approved procurement allocation for each financial year, and protects it so that procurement cannot commit money it does not have. Like Strategy, it does not sit in the main chain of work. It feeds that chain from the side, at three points: Procurement Planning is checked against it, Requisitions reserve money from it, and Contract Management turns those reservations into commitments.

It is a record of funds allocated elsewhere, not a budgeting tool. The allocation is approved outside KenTender, through the national budget process and the government's financial system. KenTender registers that approved figure, has a second person verify it, and then tracks what is reserved, what is committed to contracts and what is still available against each budget line.

The module is also fully separate from the accounting side of the platform. It reads no cost centres or accounting entries, keeps no payment records and does not reconcile with them. Its own funding record is a log of reservations and commitments, not an accounting ledger.

What it hands on: budget lines, each with a live available balance. Planning checks its plan against those lines, and Requisitions draw on them.

Why it matters: the entity cannot commit money it does not have, which prevents pending bills and stalled contracts. Finance and procurement work from the same live figure instead of reconciling separate records.

Who uses it

Two responsibilities do the work in Budget: the Budget Officer registers the allocation and the Budget Approver verifies and activates it. A third, the Finance Confirmation Officer, works from inside Procurement Planning.

Who	What they can do
Budget Officer	Registers the approved allocation with its approval reference, date and document, builds the budget lines, and submits for approval. Later starts an update when the allocation changes, and answers a budget revision request from Planning.
Budget Approver	Reviews a submitted allocation and its evidence, then approves it or returns it with a reason. Closes a budget once the financial year has ended.
Finance Confirmation Officer	Confirms the funding basis of a whole procurement plan, in Procurement Planning. Has no Budget screen and no power to author, approve or reserve.
Auditor	Reads everything, including drafts, submitted versions and the full funding history. Changes nothing.
Accounting Officer and Head of Procurement Function	Read the approved allocation: current and previous versions, their lines and funding positions. Cannot see drafts, versions awaiting approval or the approval task.
Procurement Planner	Picks eligible budget lines for each departmental source, through Procurement Planning. Holds no Budget responsibility. If a line is too small, asks the Budget Officer for a revision from inside Planning.
System administrators	Can read every record for support. Hold no business authority unless they are assigned it.
Suppliers and bidders	No access.

Nobody types a reservation or a commitment into Budget. Those movements arrive only from the modules that own them: Requisitions reserve money when a requisition is authorised, and Contract Management converts or adjusts it. The one proposed

exception is a correction that lowers a closed commitment: a Budget Officer records it and a different Budget Approver approves it.

The Budget responsibilities apply across the whole entity, and a job title grants nothing here. The person who submitted an allocation cannot approve it, even if they also hold the Approver role. The system checks this against the version's own submission record.

What a budget contains

There is one procurement budget for each financial year. Its approved allocation is held in versions, and each version is a set of budget lines.

A budget is one year of allocation, held as lines that each carry a live balance

Procurement budget — FY 2026/27, in KES

One per financial year. The year and the currency are fixed once it is saved.

Version 1 — Current

Approved allocation KES 290,000,000, as approved outside KenTender
The external approval reference, date and one approval document are recorded with it

Budget line	Approved amount
Digital health infrastructure programme Available to Digital Health	KES 120,000,000
Ministry-wide ICT infrastructure Available to all departments	KES 80,000,000
Digital health workforce development Available to all departments	KES 60,000,000
Office equipment for Human Resources Management and Development Available to Human Resources Management and Development	KES 30,000,000
Total of the lines Each line also carries live reserved, committed and available amounts.	**KES 290,000,000**

Version 2 and later

A change to the allocation is a new version, copied from the current one.
Line identities carry over, so reservations stay attached to the right line.

budget structure · one year, Version 1 and its four lines (Ministry of Health demonstration data)

A **budget line** is a funded purpose. It has a title, a funding source (here Government of Kenya for every line), the department it is available to (one department, or all), and an approved amount. The lines must add up exactly to the approved allocation before the version can be submitted.

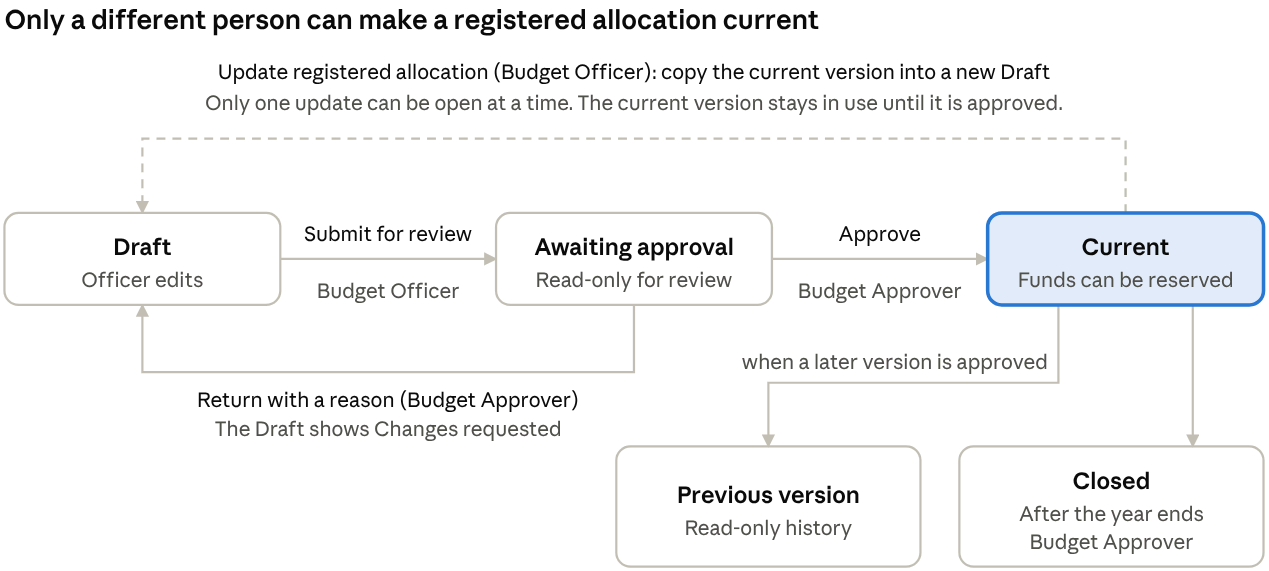
The **approval details** make the version trustworthy. The Budget Officer records the external approval reference, the approval date and the approval document. The Budget Approver looks at the same evidence before activating.

Once a version has been approved, a line's title, department and funding source are fixed. A successor version can change only the approved amount. A genuinely different purpose, department or funding source needs a new line, and a line can be dropped from a later version only if nothing is reserved or committed on it. This is what keeps every reservation and commitment tied to the same line for the life of the year.

All amounts are in one currency and are held exactly, never rounded.

How a budget moves from draft to approved

Every budget version is in one of five states: Draft, Awaiting approval, Current, Previous version or Closed. Approving a version both decides and activates it in one step. Approval means the allocation is available for KenTender's procurement control. It does not approve the public budget, which happens outside the system.



version lifecycle · five states, two loops

The journey, step by step:

1. **Create and build.** The Budget Officer picks the financial year and records the external approval: its reference, its date, the approved allocation and the approval document. They then add the budget lines, with a running total that shows how much is still to assign or how much is over.

2. **Submit.** The system checks that the evidence is complete and that the lines add up exactly to the allocation. The version becomes read-only.
3. **Review.** The Budget Approver sees first what has changed since the current version, alongside the amounts already reserved or committed and the external approval evidence.
4. **Decide.** The Approver either approves the version or returns it to the Officer with a written reason. A returned version comes back as a Draft marked Changes requested, with the earlier submission kept. Approving makes the version current in the same step, and the version it replaces becomes a Previous version.
5. **Update later.** When the allocation changes, for example through a supplementary allocation, a reduction, a transfer between lines or a correction, the Officer starts an update. This copies the current version into a new Draft, which goes through the same steps with its own approval evidence. The current version stays in use until the update is approved.
6. **Close.** After the financial year ends, the Budget Approver can close the budget, provided no reservation still holds money. A closed budget accepts no new reservations or commitment increases, and all its history stays readable.

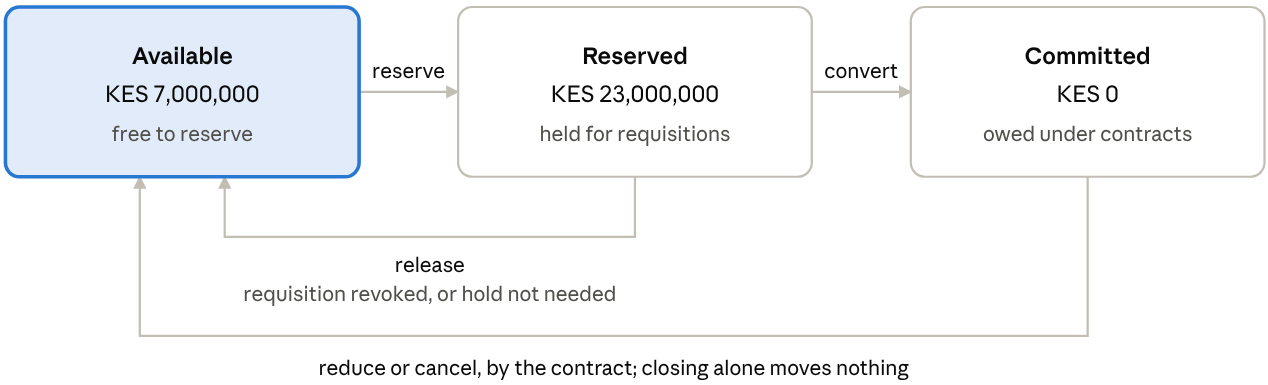
Reservations and commitments are never lost in a change. A new version cannot reduce a line below what is already reserved plus committed on it, and a transfer must move equal amounts out and in, so the total stays the same.

How money is held

At any moment each budget line has three live amounts, and the third is worked out from the first two.

Money moves forward only through the module that owns each step

Example: the Human Resources office equipment line, KES 30,000,000 approved. Ministry of Health demonstration data.



money states and moves · three states, four moves

Available = Approved amount − Reserved − Committed

Reserved for requisitions is money held for an authorised requisition. **Committed to contracts** is what the entity now owes under contracts. **Available to reserve** is what is left. None of these is cash or a payment, and none can go below zero.

Each movement arrives from the module that owns that step:

Move	Who triggers it	What happens
Reserve	Requisitions, when a requisition is authorised	One reservation for each drawn line, for the exact amount. All of them succeed together or none is made. Nothing is reserved earlier: needs, plans, funding confirmation and plan approval leave the balances unchanged.
Release	Requisitions, when an authorised requisition is revoked; Contract Management, for an amount not needed	The held amount goes back to available.

Move	Who triggers it	What happens
Convert	Contract Management, when a contract is formed	The reservation, or part of it, becomes a commitment. Only the unconverted remainder stays reserved, and one reservation can feed more than one commitment.
Adjust	Contract Management, for a variation or cancellation	A commitment can rise only if the money is available, and falling frees it. Once a commitment is closed it can no longer be changed by its contract; see Correct below.
Close	Contract Management, when the contract is closed	The commitment is marked closed. This frees no money: any final decrease is made first, and a closed commitment still counts at its final amount.
Correct	A Budget Officer records it and a different Budget Approver approves it (proposed rule)	Lowers a closed commitment's amount, with a reason, evidence and a Contract Management reference. The decrease goes back to available, never to the reservation, and the original entries are left as they were. It can only lower an amount and is allowed after the year is closed. A Budget Officer records it and a different Budget Approver decides it, each on a page of their own.

If a held reservation later fails a recheck, for example because its funding source was withdrawn, it is marked *Requires review*. The money stays reserved and the next step is blocked until the owning module revalidates it. The system never releases funds silently.

What the rest of the system takes from Budget

Other modules never read Budget's records directly, and they never change an amount. They ask Budget, and Budget answers from the approved version only. Budget in turn never reaches into another module's records.

Who asks	What they ask	What Budget answers
Procurement Planning	Which budget lines can this department's source draw on?	The lines in the current version that are available to that department or to all departments, with a matching funding source, each with its live balances. A line for another department is not offered.
Procurement Planning	Can this plan be afforded?	For each line, the planned total against the approved amount and against what is available now. Over the approved amount blocks the plan from being submitted. Over what is available now only advises. Nothing is reserved.
Procurement Planning	The same, at the moment a positive Finance decision is recorded	The same comparison, held fixed while the decision is saved, so it rests on figures that cannot shift underneath it. If a line changed in the meantime, the decision is not recorded.
Requisitions	Is the funding there, and reserve it	One check across all drawn lines together, then the reservations, in the same step that authorises the requisition. Either both happen or neither does.
Contract Management	Convert, adjust, release or close	The movements described in the section above, each tied to an event from the contract itself.
Analytics	What is the live position?	Read-only balances for the whole entity and for each line.
Anyone permitted	Where did this money come from?	The funding lineage, from the plan allocation through the requisition and reservation to the contract commitment.

When a plan is too big for its line. The Planner can ask for a revision from inside Planning. The request lands in the Budget Officer's pending work, showing Planning's planned total and the excess. The Officer answers it in one of two ways. They obtain the external approval and register an updated allocation, which goes through the same evidence and Approver decision as any other change. Or they decline it with a written reason. Planning is told the outcome either way. The request itself changes no amount and reserves nothing, so it never stands in for the external approval.

In the laptops purchase. Nothing is reserved while the laptops needs, the combined plan item and the Annual Procurement Plan are prepared, confirmed and approved. Planning only checks that the plan fits its budget line. When the laptops requisition is authorised, Budget reserves its amount on that line. When Contract Management forms the laptops contract, the reservation becomes a commitment, and the funding lineage traces the money from the plan allocation to the contract.

Safeguards

- **Authority comes from assignment.** Only someone assigned Budget Officer or Budget Approver can change or approve a budget. A job title alone grants nothing.
- **No one approves their own work.** The person who submitted a version cannot approve it.
- **Approved budgets are never edited.** A change is always a new version, with its own external approval evidence, reviewed and approved like the first. Once a version is submitted, nothing in it is deleted.
- **One budget and one current version for each year.** Planners and requisitioners never have to guess which allocation applies.
- **People never key money movements.** Reservations and commitments arrive only from the module that owns each step, and a repeated request creates nothing twice. The exceptions are the funding entry for a contract signed before KenTender and the correction of a closed commitment: each needs two different people, the entry's amount is calculated and never typed, and a correction can only lower an amount.
- **Money cannot be over-committed.** No balance goes below zero, and two requests at the same moment cannot oversubscribe a line. An earlier funding check never guarantees money: the reservation checks again before it is made.

- **Held money is never released quietly.** A reservation that needs review stays held until its owning module revalidates it, and a new version cannot cut a line below what is already held on it.
- **History is kept.** Every approval, return and money movement is recorded with who took it, in what role, when, and the balances before and after. Reservations and commitments stay traceable to their line after a new version or the year's close.

Funding contracts, closing them and correcting them

An award can be funded from several reservations, a contract signed before KenTender can be funded year by year, and a closed contract's amount can be corrected. In every case Budget decides only about money. Contract Management owns the contract and Finance owns the accounts.

An award funded from several reservations. Award works out how the awarded price divides across the reservations that fund it, to the cent, and keeps that split with the award decision. Budget converts the whole set in one step or none of it. If any source has stopped being valid, the conversion is refused and nothing is partly funded.

A contract signed before KenTender. Contract Management raises one funding request for each contract and each Budget year, with the charge Finance confirmed there. The Head of Procurement may raise it before Finance has confirmed the year: Budget then shows it as waiting for Finance, the Officer cannot submit an entry yet, and Finance's later confirmation updates the same request. A Budget Officer prepares one entry that spreads the part Budget does not already cover over lines of that year. Nobody types the total: it is the confirmed charge minus the coverage Budget already holds, and an invoice or payment alone is never coverage. A different Budget Approver decides. The Approver cannot be the person who prepared the entry or anyone who confirmed the figures it rests on. If one line is short, nothing is committed and the entry goes back to the Officer.

Later years of the same contract. Each year has its own request, confirmed on its own evidence. Nothing is reopened and nothing carries forward by itself. A year that is not yet funded shows as not yet funded, and covered current-year work is not held because of it.

Reopening and increases. Reopening a contract changes no funding. If a later change adds to the obligation, only the added amount is funded, beside the closed commitment, which is neither raised nor duplicated.

Correcting a closed commitment. A Budget Officer records the correction with its reason and evidence, and a different Budget Approver approves it. It can only lower the amount. The difference goes back to Available, never to the reservation, and after the year has closed it is a historical correction, not new spending.

Payments. Contract Management holds payments, new spending and increases for any year whose funding is not confirmed, and says why and who holds the next step. Facts, claims, evidence and liabilities can still be recorded. Budget supplies funding facts and makes no accounting read.